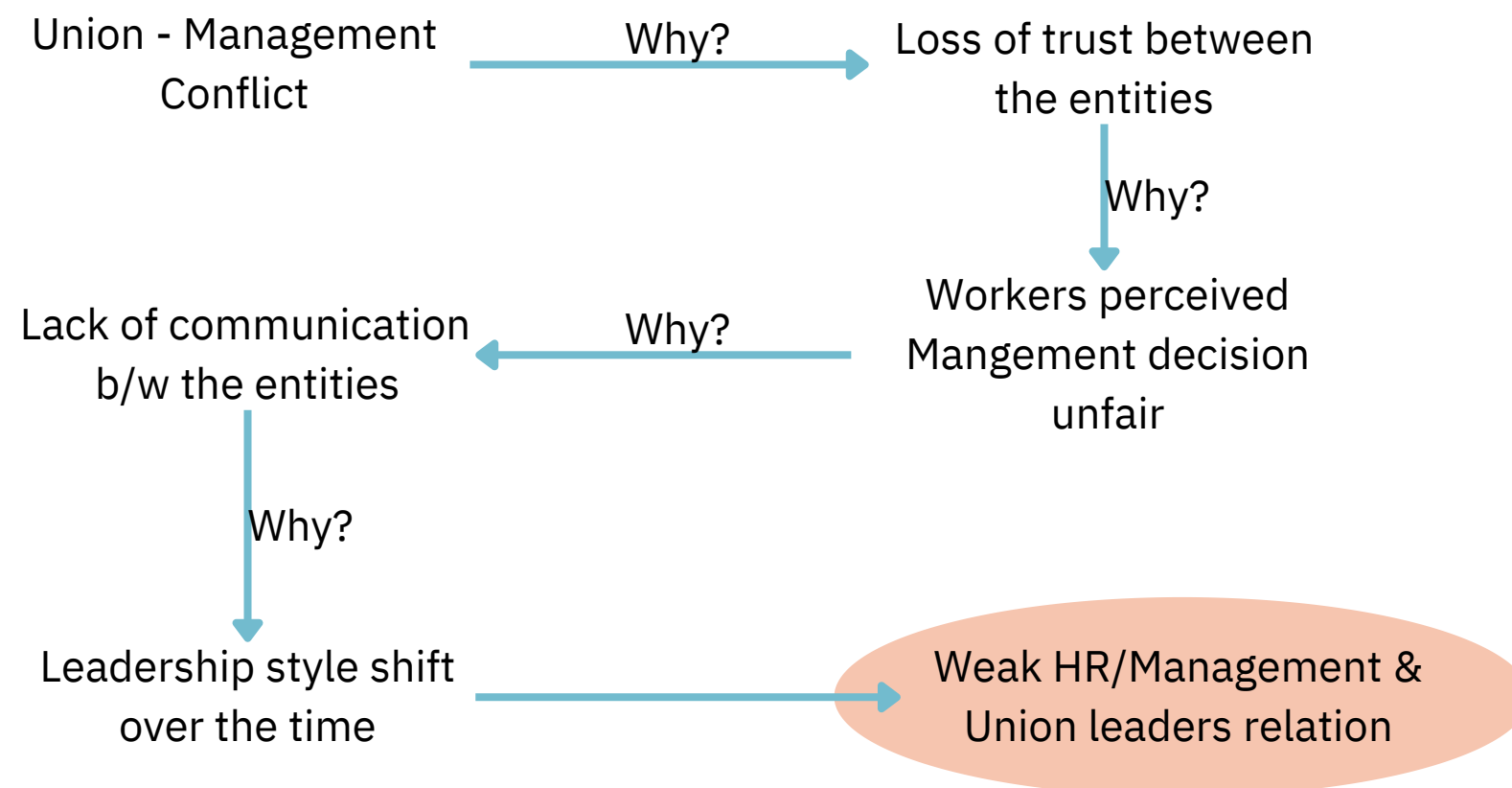


UNION MANAGEMENT CONFLICT AT PPL

PROBLEM STATEMENT

A sort of barrier has been erected between Workers (Union) and Management, production has been plummeted to the base minimum level. The workers have stopped taking initiatives to even fix minor issues they themselves would have solved. This particularly applied after the dismissal of GS from the service. Overall, the core values of the organization seem to be getting lost.

ROOT CAUSE ANALYSIS



BACKGROUND

- Precision Parts Limited (PPL) was established as a joint venture company between Indian Business Group and state government in 1985
- Establishment of the firm has contributed immensely towards the development of local infrastructure, lifestyle of workers and local population & student employment especially ITI/Diploma holders
- Built the image of a model employer in the state with “enviable record for per employee productivity” and was “among the highest paid manufacturing companies”
- PPEU when registered under Trade Unions Act 1926 was welcomed by the management, and soon came to be known as “model union”

PPL Employees Union (PPEU) in recent years

- As the time passed, majority of the faces including CEO, Union leaders and senior management has changed losing the previous relations & trust
- Slowly disagreements between the union and management started becoming visible, leading to strikes which was unexpected by the management
- Training center operation on chargeable basis by management and unauthorized absences from work by workers led to clash between the entities, requiring state intervention
- After dismissal of GS from the services, the employees are working just the bare minimum and answering in monosyllables

EXISTING MANAGEMENT PRACTICES ASSESMENT

PRACTICES	ASSESSMENT
Tougher Management Approach	For the VRS scheme, the mangement and union never agreed but management was still able to push through in the final settlement. It sent a signal that mangement is becoming less accomodative.
Disconnect between Management & Union	With increasing comptetion in auto component business, the leadership underwent total change losing the previous realtion with union. Ride to corporate office and meeting with CEO didn't happen for the newly elected general seceratory (GS) of PPEU, which further strenghten this point.
Decisions in favour of business without employees consultation	As the competition intensified and profits were affected, management took decisions without addressing employees or union for e.g. trainee contract employment of 3 years. Workers felt their opinions and welfare were not being taken into consideration anymore and they have to take charge themselves, leading to strikes and further escalation.
Informal systems not being addressed by the new HR	HR is measuring the effectiveness of workplace only in terms of formal systems: employees coming on time, no extended lunch or tea breaks, and no unnecessary talking or movement. But at the same time, the productivity was lower, no self-initiatives from workers in fixing issues, monosyllable answers, the entire friendliness was gone. This will most likely detoriate the brand value and lead to reduction in worker retention

RECOMMENDED PRACTICES

1. **Regular Management - Union Connects:** an open and comfortable forum for adressing concerns and inputs from both sides.
2. **Active Monitoring of Informal indicators:** HR needs to actively address the employees temparement and what they think about the management. This includes:
 - a. friendliness among the workers and positive attitude towards the workers
 - b. tendency to take ownership of tasks and take initiatives to fix issues actively
 - c. comfort in opening up to HR or management with their views and thoughts, without any feeling of barrier
3. Defining the **core value** and keeping them in center while taking any major decision
4. Training program for managers in participative learning and conflict management
5. Prompt grievance redressal system for workers